

Here, there is no indication that the Dupuys complied with the above. While it appears there were email communications, there is no indication that a meet and confer was accomplished in person, by telephone or by video conference. For this procedural reason the Court denies the motion.

3.

CASE #	CASE NAME	HEARING NAME
CVRI2507410	BATRES VS FCA US LLC	DEMURRER ON 1ST AMENDED COMPLAINT FOR BREACH OF CONTRACT/WARRANTY (OVER \$35,000) OF CRYSTAL BATRES BY FCA US LLC

Tentative Ruling:

Moving Party: Defendant FCA US, LLC

Responding Party: Plaintiff Crystal Batres

This is a lemon law case. On 4/24/2026 Crystal Batres ("Plaintiff") filed the operative first amended complaint ("FAC") against FCA, US LLC ("FCA") and I-10 Chrysler Dodge Jeep Ram ("Dealership") asserting the following causes of action: (1) violation of Song-Beverly (Civil Code § 1793.2(d)); (2) violation of Song-Beverly (Civil Code § 1793.2(b)); (3) violation of Song-Beverly (Civil Code § 1793.2(a)(3)); (4) breach of implied warranty of merchantability; (5) negligent repair; and (6) fraudulent concealment.

Now, FCA demurs to the sixth cause of action as alleged in the FAC. FCA argues the sixth cause of action for fraudulent concealment fails because Plaintiffs cannot establish a direct transaction with FCA, the economic loss rule applies, and the allegations lack the required specificity for a fraud-based claim.

In opposition, Plaintiff argues *Dhital* holds that the economic loss rule does not bar fraudulent concealment claims in the lemon law context, that the complaint alleges a duty to disclose and transactional relationship, and that the cause of action otherwise properly states facts sufficient.

In reply, FCA restate the arguments from the moving papers.

ANALYSIS

A. Meet & Confer Requirement

CCP § 430.41 requires a meet and confer process via **phone or in person** before filing a demurrer five days before the responsive pleading is due. The meet and confer process requires the moving party to identify the causes of action or allegations

subject to attack and the plaintiff must provide legal support for its position. (CCP § 430.41(a)(1).) The demurring party must file a declaration stating the means by which the parties met and conferred, or the responding party failed to respond or meet and confer in good faith. (CCP § 430.41(a)(3).)

FCA satisfied the meet and confer requirement. (Declaration of Andrew Gahan, ¶ 2.)

B. Demurrer – Merits

The function of a demurrer is to test the legal sufficiency of a pleading, but not the truthfulness of the allegations. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (*Id.*)

i. Fraudulent Concealment Cause of Action – Specificity

Concealment requires: “(1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.” (*Marketing West, Inc. v. Sanyo Fisher (USA) Corp.* (1992) 6 Cal.App.4th 603, 612-613.) As concealment is a species of fraud, it must also be pled with specificity. (*Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC* (2008) 162 Cal.App.4th 858, 878.) Less specificity is required where the defendant necessarily possesses the information. (*Committee*, *supra*, 35 Cal.3d at 216.)

The case of *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828 addressed the sufficiency for concealment for pleading purposes in fraud in a lemon law case. The California Supreme Court deferred the matter pending consideration of the related issue in *Rattagan v. Uber Techs., Inc.* (Dec. 1, 2021, S272113) regarding the economic loss rule in concealment cases. After the Court issued its decision in *Rattagan*, the Court dismissed review.

The *Dhital* court found that it was sufficient that plaintiffs alleged a transmission defect in numerous vehicles, including the plaintiff's, the defendant knew of the defect and the hazards they posed, defendant had exclusive knowledge of the defect and failed to disclose that information, defendant intended to deceive plaintiffs by concealing known defects, the plaintiffs would not have purchased the car if they had known of the defects, and they suffered damages on the sums paid to purchase the vehicle. (*Id.* at 843-844.)

Here, Plaintiff pleads the same facts as found to be sufficient in *Dhital*. Plaintiff alleges that there is an engine defect that is a safety hazard. (FAC, ¶¶ 17-24.) The complaint alleges FCA had exclusive knowledge of the issue. (*Id.* at ¶¶ 29-45.) The complaint also alleges FCA actively concealed the defect and that had Plaintiffs known about the defect, he would not have purchased the vehicle. (*Id.* at ¶ 32). This is sufficient for pleading purposes.

Plaintiff's cause of action for fraudulent concealment is plead with sufficient specificity to survive demurrer.

ii. *Fraudulent Concealment Cause of Action - Duty to Disclose*

As explained in *Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 311: “There are ‘four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts.’ ” The last three require an evidence of some transaction, i.e. direct dealings between the plaintiff and the defendant. (*Id.* at 311-312.) The plaintiff had sued her doctor, the manufacturer and a supplier regarding the malfunction of a medical device (providing cold therapy). (*Id.* at 286.) The plaintiff had rented the device from a supplier. (*Id.* at 287.) The court found that there was no duty to disclose because there was no relationship between the plaintiff and the manufacturer, no evidence that the manufacturer knew that the plaintiff even had the device (since she obtained it from a supplier), and that there was no evidence that the manufacturer advertised to the public. (*Id.* at 314.)

In *Dhital*, supra, 84 Cal.App.5th at 844, the court found a relationship for pleading purposes based on allegations that the plaintiffs purchased a car from the dealership backed by an express warranty, and that the authorized dealership was an agent of the manufacturer. Here, Plaintiff alleges she entered into a warranty contract with FCA. (FAC, ¶¶ 7-8.) The complaint also alleges that FCA has been unable to repair the vehicle after presentation to an authorized dealership, which served as an agent of FCA. (*Id.* at ¶¶ 50-52.) That demonstrates a transactional relationship for pleading purposes. Also, as discussed above, Plaintiff pleads exclusive knowledge. (*Id.* at ¶¶ 29-45.)

In reply, FCA cites to *Bjoin v. J-M Mfg. Co., Inc.* 113 Cal.App.5th 884 in support of *Bigler-Engler*'s requirement for a more specific transactional relationship. But *Bjoin* is not a Song-Beverly case, making *Dhital* the applicable authority here. And again, Plaintiff alleges a direct, express warranty contract with FCA. (FAC, ¶¶ 7-8.)

The complaint sufficiently pleads a duty to disclose.

iii. Fraudulent Concealment Cause of Action - Economic Loss Rule

FCA's motion also argues the economic loss rule bars Plaintiff's claim for fraud.

The economic loss rule bars "a plaintiff's tort recovery of economic damages unless such damages are accompanied by some form of physical harm (i.e. personal injury or property damage.)" (*North American Chemical Co. v. Superior Court* (1997) 59 Cal.App.4th 764, 777.) Under the economic loss rule, "where a purchaser's expectations in a sale are frustrated because the product he bought is not working properly, his remedy is said to be in contract alone, for he has suffered only economic losses. (*Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979, 988.) Quite simply, the economic loss rule prevents the law of contract and the law of tort from dissolving one into the other. (*Food Safety Net Services v. Eco Safe Systems USA, Inc.* (2012) 209 Cal.App.4th 1118, 1130, citing *Robinson Helicopter, supra*, 34 Cal.4th at p. 988.) "[E]conomic loss consists of damages for inadequate value, costs of repair and replacement of the defective product or consequent loss of profits—without any claim of personal injury or damages to other property." (*Food Safety Net Services v. Eco Safe Systems USA, Inc., supra*, 209 Cal.App.4th at 1130, fn. 4, citing *Robinson Helicopter, supra*, 34 Cal.4th at p. 988.)

The court in *Robinson Helicopter* specifically refused to address the issue of whether the economic loss rule applies to fraudulent concealment. In *Dhital*, the appellate court expressly found that the economic loss rule did not apply to the plaintiffs' fraudulent inducement by concealment claim in the lemon law context:

To hold, at the demurrer stage, that plaintiffs' fraud claim is barred by the economic loss rule, we would need to conclude, as Nissan urges us to do, that (1) despite the Supreme Court's statement in *Robinson*, there is no exception to the economic loss rule for fraudulent inducement claims (or at least no exception that encompasses the claim plaintiffs allege in the SAC), or (2) plaintiffs have not adequately pleaded a claim for fraudulent inducement under California law We reject both arguments and conclude the economic loss rule does not bar plaintiffs' claim.

(84 Cal.App.5th at 839.) The court further stated:

Robinson left undecided whether concealment-based claims are barred by the economic loss rule. What follows from its analysis, however, is that concealment-based claims for fraudulent inducement are not barred by the economic loss rule. The reasoning in *Robinson* affirmatively places fraudulent inducement by concealment outside the coverage of the economic loss rule. We now hold that the economic loss rule does not cover such claims. First, as discussed, *Robinson* identified fraudulent inducement as an existing exception to the economic loss rule, before it proceeded to analyze the particular claims at issue in that case relating to fraud during

the performance of a contract. [Citation.] For fraudulent inducement and the other existing exceptions listed in *Robinson*, “ ‘the duty that gives rise to tort liability is either completely independent of the contract or arises from conduct which is both intentional and intended to harm.’ ” [Citation.]

In our view, that independence is present in the case of fraudulent inducement (whether it is achieved by intentional concealment or by intentional affirmative misrepresentations), because a defendant's conduct in fraudulently inducing someone to enter a contract is separate from the defendant's later breach of the contract or warranty provisions that were agreed to.

(*Id.* at 840-41.) Review of *Dhital*, *supra*, was granted pending consideration and disposition of a related issue in *Rattagan v. Uber Technologies*, S272113, i.e. as it relates to the economic loss rule. (*Dhital v. Nissan North America* (2023) 523 P.3d 392.) The Supreme Court issued its decision in *Rattagan*, *supra*, 553 P.3d 1213 on August 22, 2024. The court held in *Rattagan* that “the economic loss rule does not apply to limit recovery for intentional tort claims like fraud. The doctrine only applies to bar tort recovery for negligently inflicted economic losses unaccompanied by physical or property damage...” (*Rattagan*, 553 P.3d at 1236.) However, the court in *Rattagan* limited its holding to fraudulent concealment claims based on conduct occurring during the contractual relationship, and declined to address fraudulent inducement by concealment claims. It noted:

“Rattagan’s tort claims are, of course, based on alleged conduct committed during the contractual relationship but purportedly outside the parties’ chosen rights and obligations. This court has granted review in two other cases – *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 300 Cal.Rptr.3d 715, review granted Feb. 2023, S277568 and *Kia America v. Superior Court* (Feb. 3, 2022, D079858)[nonpub. Opn.], review granted April 20, 2022, S273170 – both of which involve claims of fraudulent inducement by concealment claims as well as the potential interplay with remedies available under the Song-Beverly Consumer Warranty Act (Civ. Code § 1791 et. seq.). We do not address these issues here.” (*Rattagan*, *supra*, 553 P.3d at 463, fn. 12.)

Thus, the Supreme Court did not consider whether the economic loss rule applies in the context of lemon law claims. Following the decision in *Rattagan*, the Supreme Court dismissed its review of the *Dhital* decision, making it good law. In *Dhital*, *supra*, 84 Cal.App.5th at 839, the court expressly found that the economic loss rule did not apply to fraudulent inducement by concealment claims asserted in a lemon law matter. As such, the economic loss rule is not applicable to Plaintiff’s cause of action for fraudulent concealment.

For these reasons, the court **OVERRULES** the demurrer to the sixth cause of action.